OIL ANALYST

Weaker Demand Offsets a Longer Hormuz Disruption

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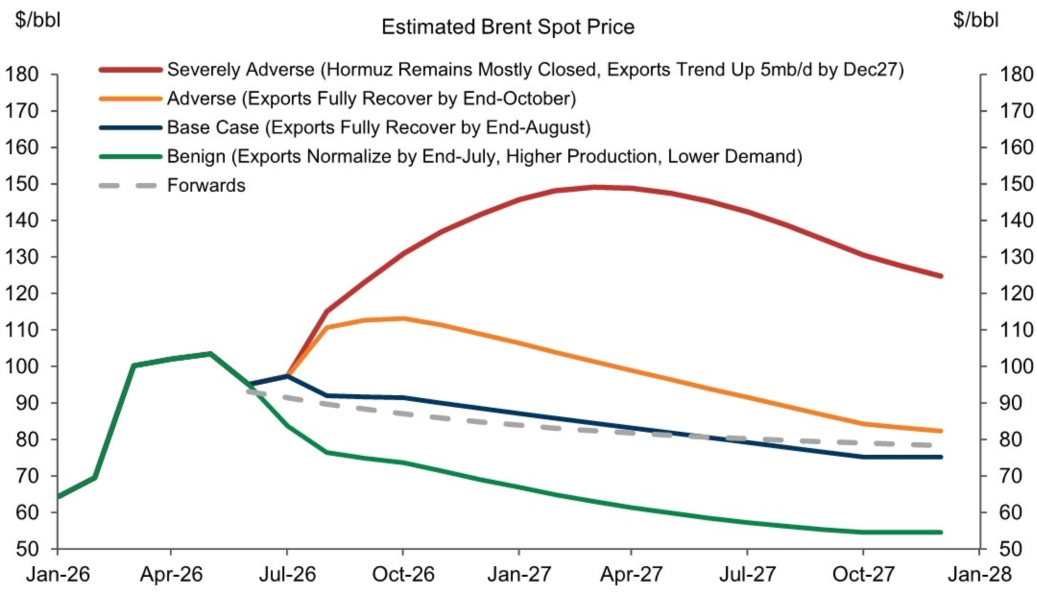
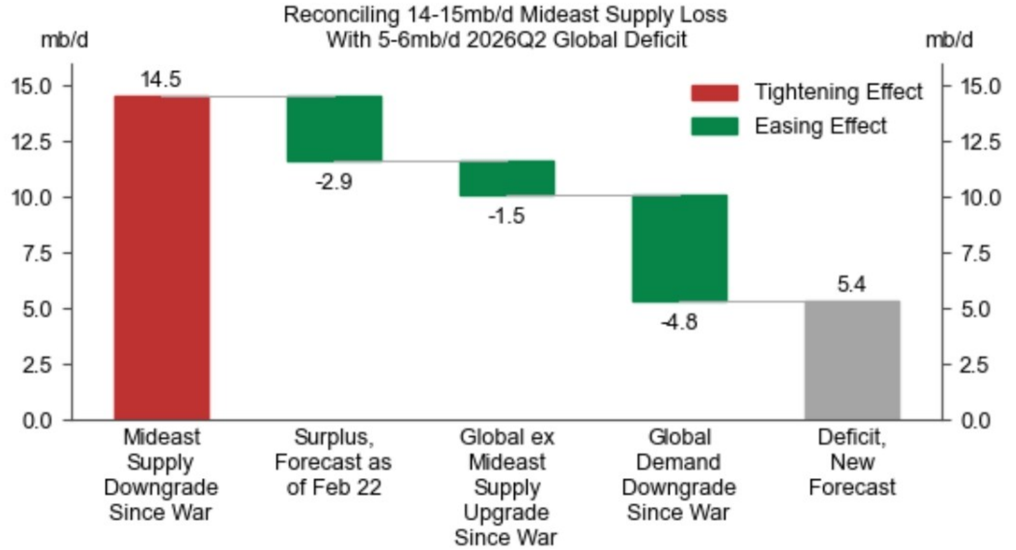
- **Same 2026Q4 price forecast.** We keep our 2026Q4 Brent $90 forecast as the easing effect from a smaller-than-expected deficit during the Hormuz disruption so far offsets the tightening effect from a longer disruption. We estimate a 5-6mb/d Q2 deficit, which is smaller than the 14-15mb/d hit to Mideast liquids production because of nearly 5mb/d of estimated demand losses and over 4mb/d of oversupply in the absence of the war. We now assume that oil exports from Gulf producers normalize by late August (vs. by late June prior), which may be achieved with a rise in Hormuz flows to 70% of pre-war levels given current redirections.
- **Nudging down 2027 forecast.** We lower our 2027 average Brent forecast by $5 to $80 on higher supply and lower demand. We lift 2027 supply in the UAE (given its OPEC exit) and the Americas (i.e. US, Brazil, Guyana, and Venezuela) on firmer realized and projected supply in our Top Projects dataset. While demand is likely to largely bounce back after reopening, we assume that just over 10% of the demand weakness persists as China's shift to alternatives (e.g. EVs) accelerates.
- **Resilient 2027 prices vs. large surplus.** We forecast 2027 crude prices to exceed their 2025 average by $10 despite an over 3mb/d 2027 surplus for two reasons. First, OECD commercial oil stocks are unlikely to reach very high levels following sharp 2026 draws and over 1mb/d of global strategic stockpiling in 2027. Second, a security premium compensating for disruption risk is likely to keep a floor under prices.
- **Two-sided but still net upside price risks.**
  - *Adverse scenario:* Brent 2026Q4 would average just over $110 assuming Gulf exports only normalize by end-October.
  - *Severely adverse scenario:* Brent would average $140 in 2027 assuming Hormuz remains disrupted through 2027 with Gulf countries' exports rising gradually by 5mb/d by Dec27 (with some expansion in allowed Hormuz flows and/or pipeline capacity).
  - *Benign scenario:* Brent would average around $70 in 2026Q4 and $60 in 2027 assuming exports normalize by end-July, stickier demand losses, and stronger supply.

We See Risks to Our Brent Price Forecast as Two-Sided but Tilted to the Upside on Net



Source: Goldman Sachs Global Investment Research

We Estimate a 5-6mb/d Q2 Deficit, Which is Smaller Than the 14-15mb/d Hit to Mideast Liquids Production



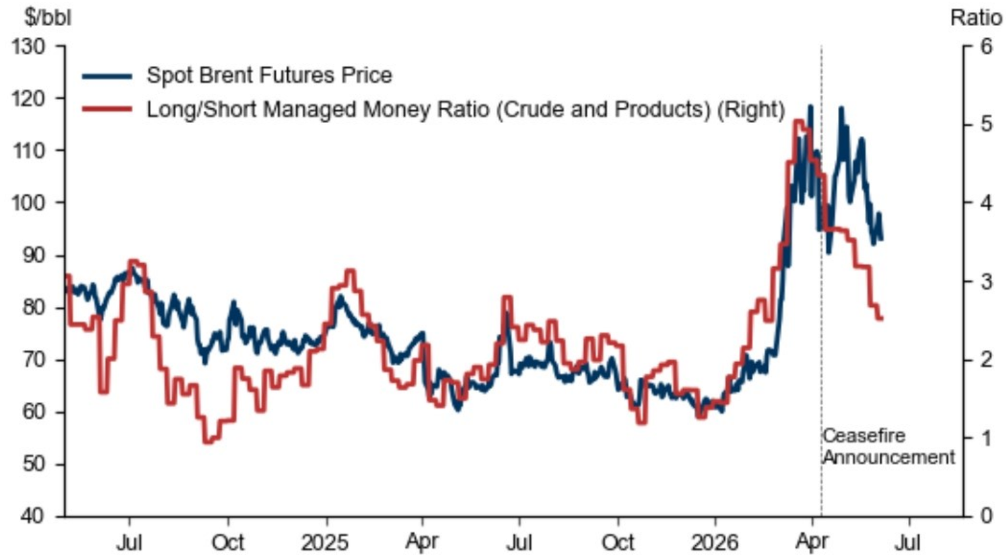
Supply includes crude and NGLs.

Source: Goldman Sachs Global Investment Research

Weaker Demand Offsets a Longer Hormuz Disruption

Spot Brent futures have declined around 25% from the late March peak despite still low flows through Hormuz mainly for two reasons.

Exhibit 1: Investor Positioning Moderation Has Been One Driver of the Decline in Oil Prices

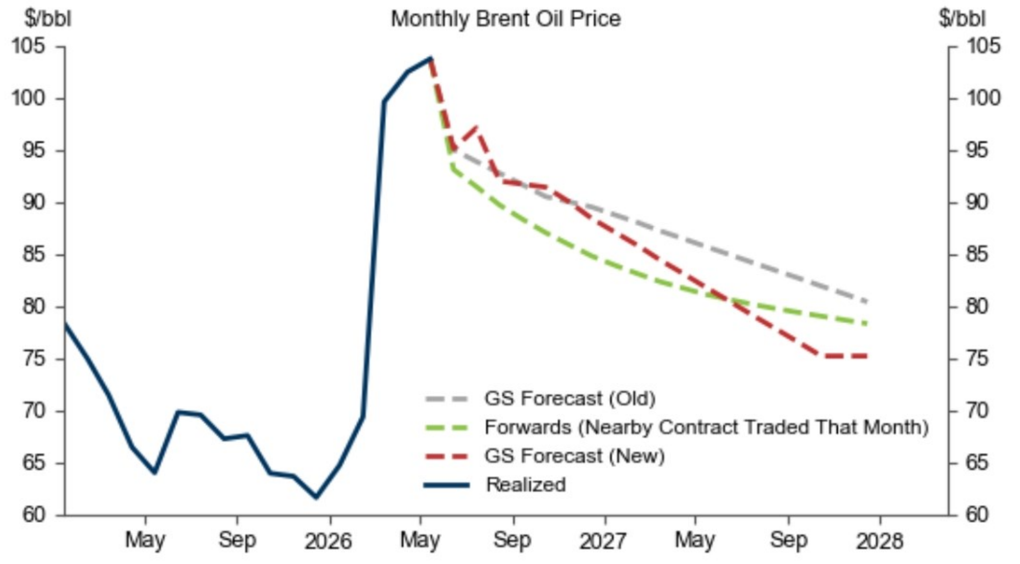


Source: CFTC, ICE, Goldman Sachs Global Investment Research

First, on the physical side, the global oil market deficit during the disruption has been less large than expected. Second, on the financial side, investor positioning has moderated as market concerns about major escalation and large damage to production capacity have eased since the "ceasefire" (Exhibit 1).

In this *Oil Analyst*, we keep our 2026Q4 Brent $90 price forecast because the easing effect from a smaller-than-expected deficit during the Hormuz disruption so far offsets the tightening effect from a longer disruption (Exhibit 2). We lower our 2027 average Brent forecast by $5 to $80 on higher supply and lower demand.

Exhibit 2: We Maintain Our 2026Q4 Brent Oil Price Forecast at $90 But Reduce Our 2027 Average Forecast by $5 to $80

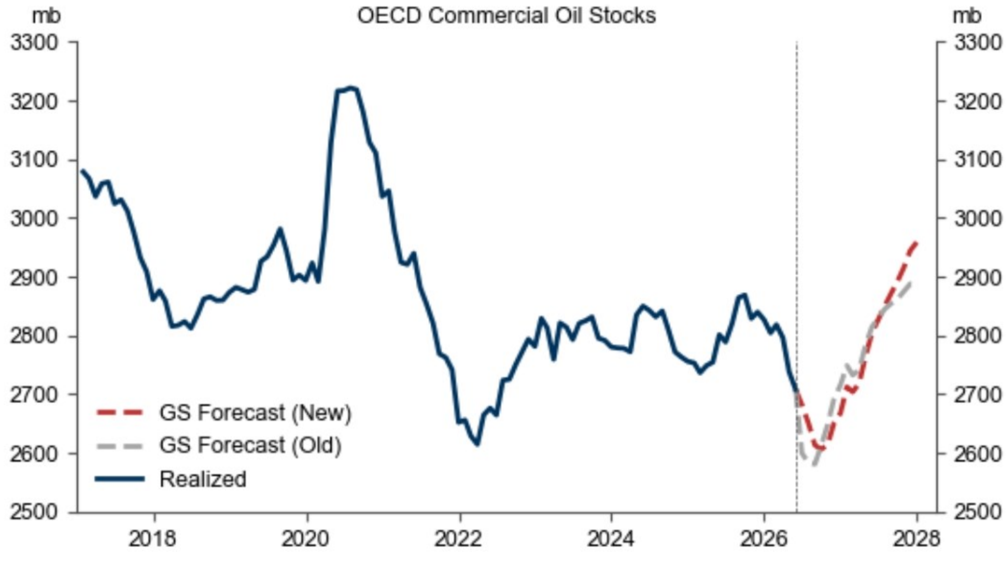


Source: ICE, Goldman Sachs Global Investment Research

Same 2026Q4 Price Forecast

We maintain our 2026Q4 Brent crude price forecast because our 2026Q4 OECD commercial stocks forecast is roughly unchanged (Exhibit 3). While global visible and OECD commercial oil stocks have drawn less quickly than expected, we now expect draws to continue for a couple months longer as we now assume Gulf exports normalize by end-August (vs. end-June previously).

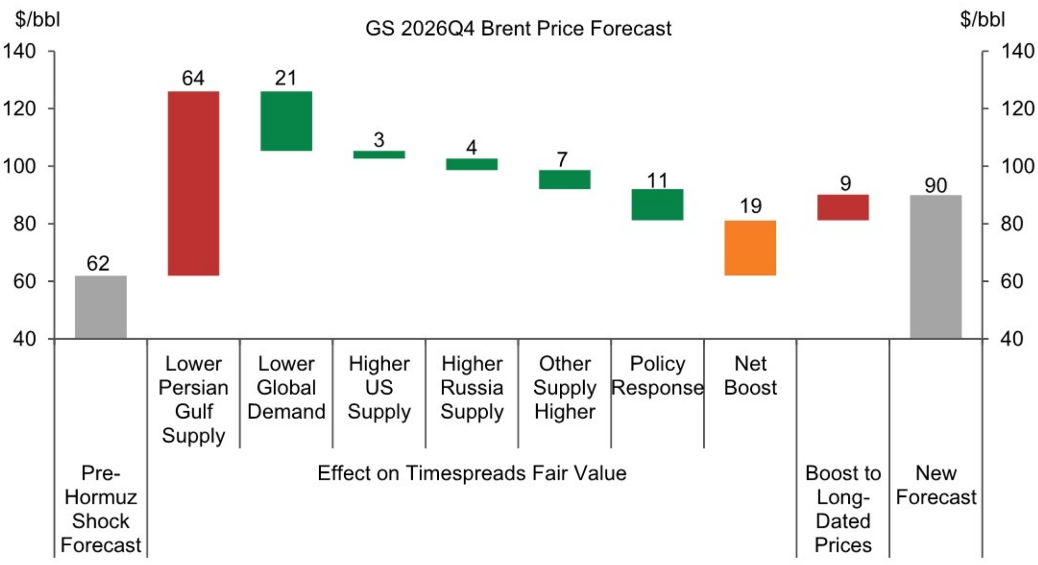
Exhibit 3: We Maintain Our 2026Q4 OECD Commercial Stocks Forecast as the Slower-Than-Expected Pace of Draws Roughly Offsets the Longer Expected Duration of Draws



Source: Goldman Sachs Global Investment Research

Our crude price 2026Q4 forecast remains nearly $30 higher than before the Hormuz shock because of 1) a $19 net boost to spot prices vs. long-dated prices given large hits to Mideast production and commercial oil stocks (after lower demand, higher supply, and SPR releases) and 2) a $9 boost to long-dated prices as the market is likely to continue to risk-adjust spare capacity for disruption risk (Exhibit 4).

Exhibit 4: A Nearly $30 Boost From the Hormuz Shock to Brent Prices in 2026Q4 on Lower Commercial Stocks (Driven by Lower Gulf Production) and Higher Long-Dated Prices



Source: Goldman Sachs Global Investment Research

We now see WTI averaging at $85 in 2026Q4 (vs. $83/bbl prior) as we now see a narrower Brent-WTI differential at $5/bbl as high US exports and refinery runs have reduced US crude stocks.

A Smaller Deficit During the Hormuz Disruption

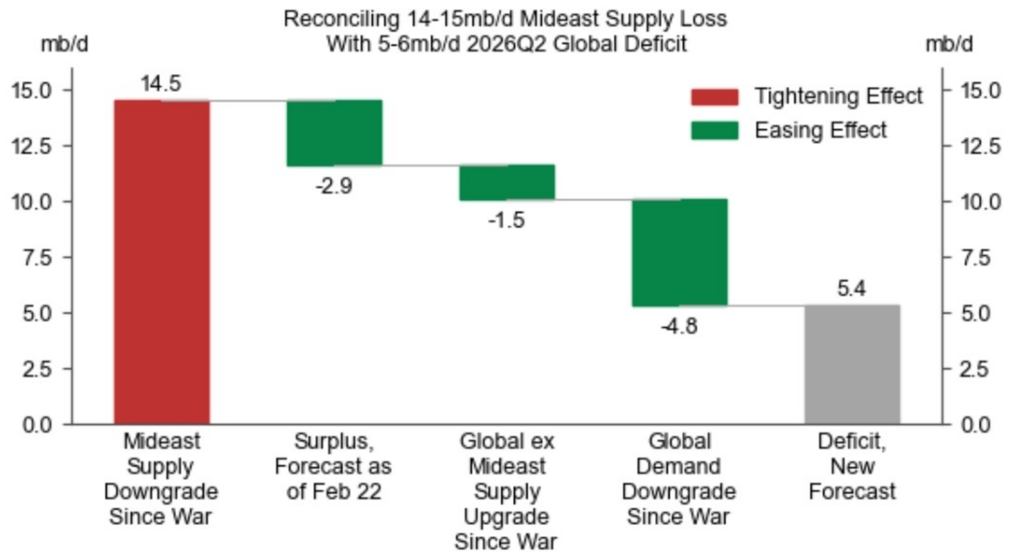
We now estimate a 5-6mb/d deficit in Q2 during the disruption (vs. a 9-10mb/d Q2 deficit estimated in April).[1]

This 5-6mb/d Q2 deficit is smaller than the 14-15mb/d hit to Mideast crude and NGL production because of nearly 5mb/d of oil demand losses, the nearly 3mb/d Q2 surplus we forecasted before the war, and the 1.5mb/d upgrade to global ex Mideast Q2 production since the war started (Exhibit 5).

We recently estimated that much of the estimated 4-5mb/d of global oil demand destruction is concentrated in China, the Middle East, and petrochemical feedstocks. While demand destruction estimates are uncertain, the nearly 4mb/d year-over-year recent decline in China crude import demand has been a key driver of the moderation in crude prices.

[1] The 4.2mb/d downgrade to our 2026Q2 deficit from the end of April captures 2.2mb/d lower demand (as we now estimate higher demand destructions, especially in China and petrochemicals), 0.7mb/d higher Persian Gulf production, and 1.3mb/d higher other production.

Exhibit 5: We Estimate a 5-6mb/d Q2 Deficit, Which Is Smaller Than the 14-15mb/d Hit to Mideast Production



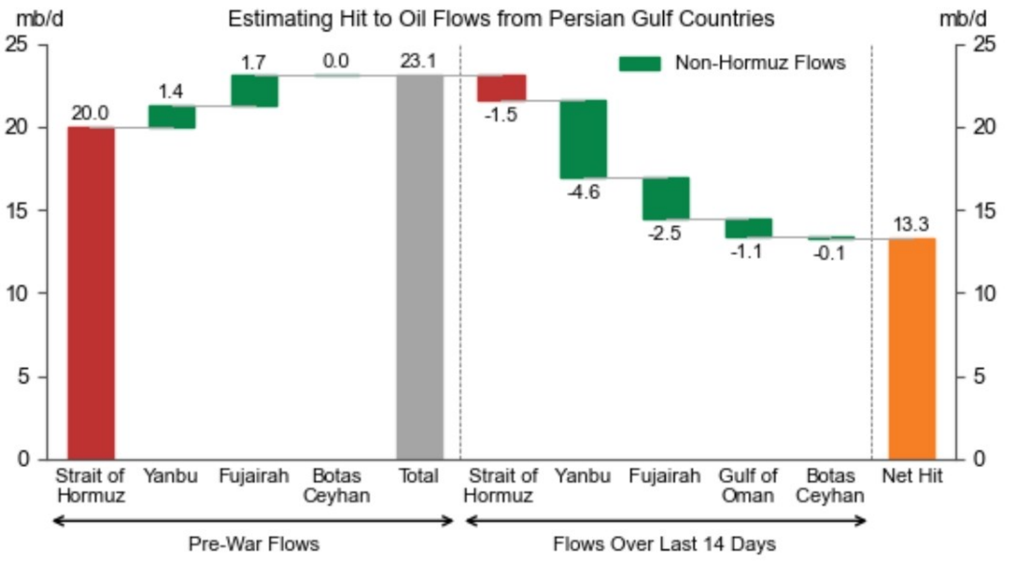
Source: Goldman Sachs Global Investment Research

A Later Start to the Recovery in Mideast Supply

We now assume that oil exports from Gulf producers normalize by late August (vs. by late June previously). While the uncertainty around the August normalization assumption is very large (which has tilted client focus towards scenarios), this assumption seems broadly consistent with prediction markets pricing (see here and here).

This normalization in oil exports from Gulf producers to their pre-war level of 23mb/d may be achieved with a 13mb/d increase in Hormuz flows from current levels to just 70% of pre-war levels given current estimated 10mb/d of flows via Hormuz, and redirections via Yanbu, Fujairah, the Gulf of Oman, and Ceyhan (Exhibit 6).

Exhibit 6: Full Normalization in Oil Exports Requires Hormuz Flows to Recover to 70% of Pre-War Levels (Assuming Redirections Remain at Current Levels)

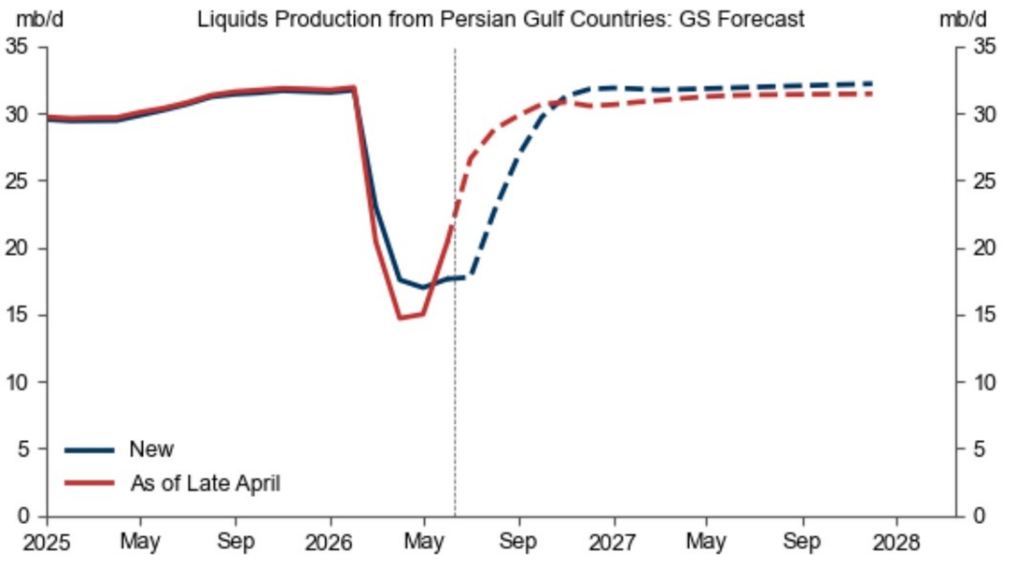


Yanbu is on the west coast of Saudi Arabia, bordering the Red Sea and connected to Saudi eastern oil fields via the East-West pipeline. Fujairah lies east (outside) of the Strait of Hormuz and is connected to Abu Dhabi's onshore fields via the Abu Dhabi Crude Oil Pipeline (ADCOP). The Gulf of Oman connects the Strait to the Arabian Sea (southeast). The Kirkuk-Ceyhan pipeline allows northern Iraqi crude to be pumped through Turkey to the Mediterranean sea.

Source: Kpler, S&P Global Commodities at Sea, Goldman Sachs Global Investment Research

While we now see a later start to the recovery in Mideast production (Exhibit 7), we think that most of lost supply is likely to recover in a few months and more quickly than consensus expects if the Strait reopens (Exhibit 8).

Exhibit 7: We Expect Recovery in Mideast Production to Begin Later But Occur at a Faster Pace

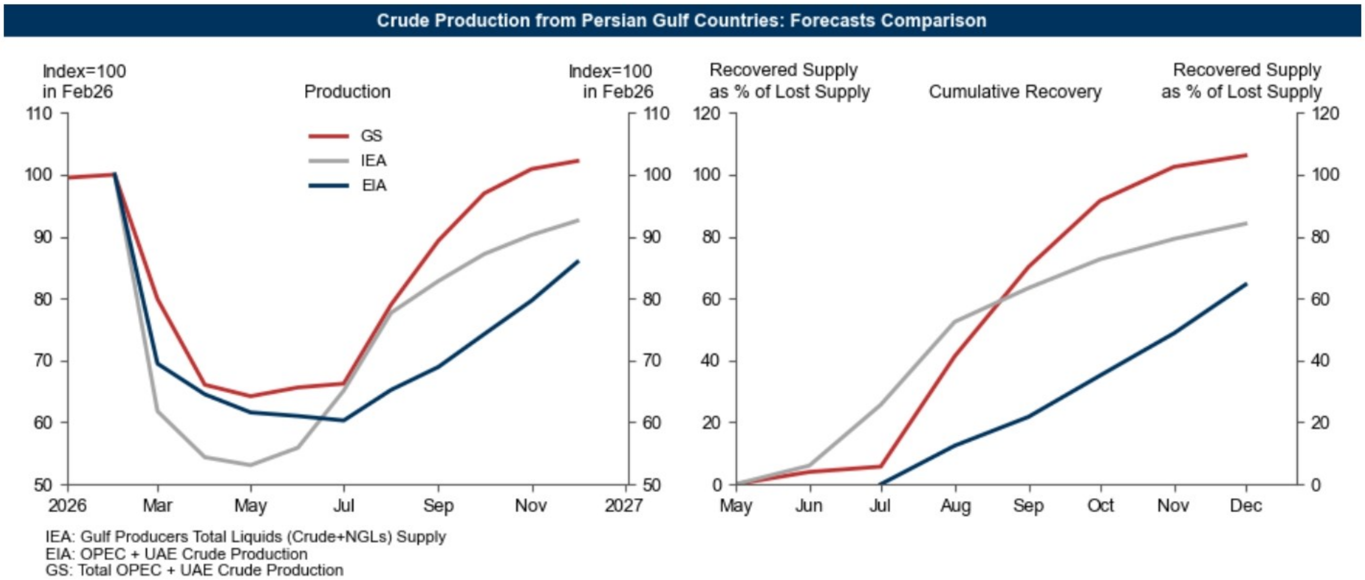


Included countries: Iran, Iraq, Kuwait, Qatar, Saudi Arabia, United Arab Emirates. Liquids include crude oil and natural gas liquids (NGLs).

Source: OPEC Secondary Sources, Goldman Sachs Global Investment Research

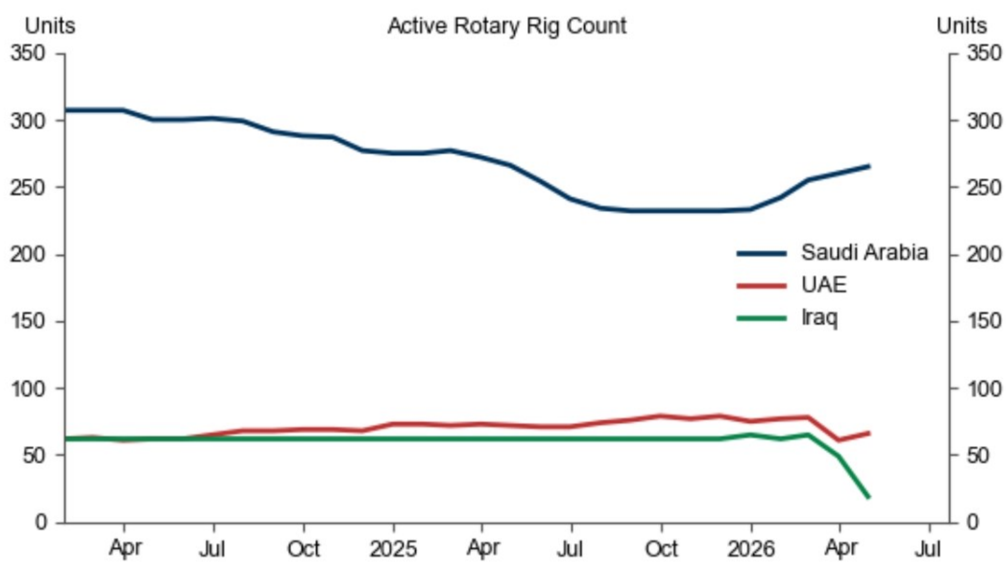
We still see the availability of pipeline capacity to destock previously produced oil as the key constraint on reopening. In contrast, our research team's conversations with services companies suggest that the availability of materials and workers and well flow rates are unlikely to constrain production for most fields as producers appear to prepare a restart with ongoing drilling activity (Exhibit 9).

Exhibit 8: We Expect a Faster Rise in Production After Reopening Than Other Forecasters



Source: EIA, IEA, Goldman Sachs Global Investment Research

Exhibit 9: The Active Rig Count Has Increased Since the Start of the War in Saudi Arabia



Last observation: May 2026.

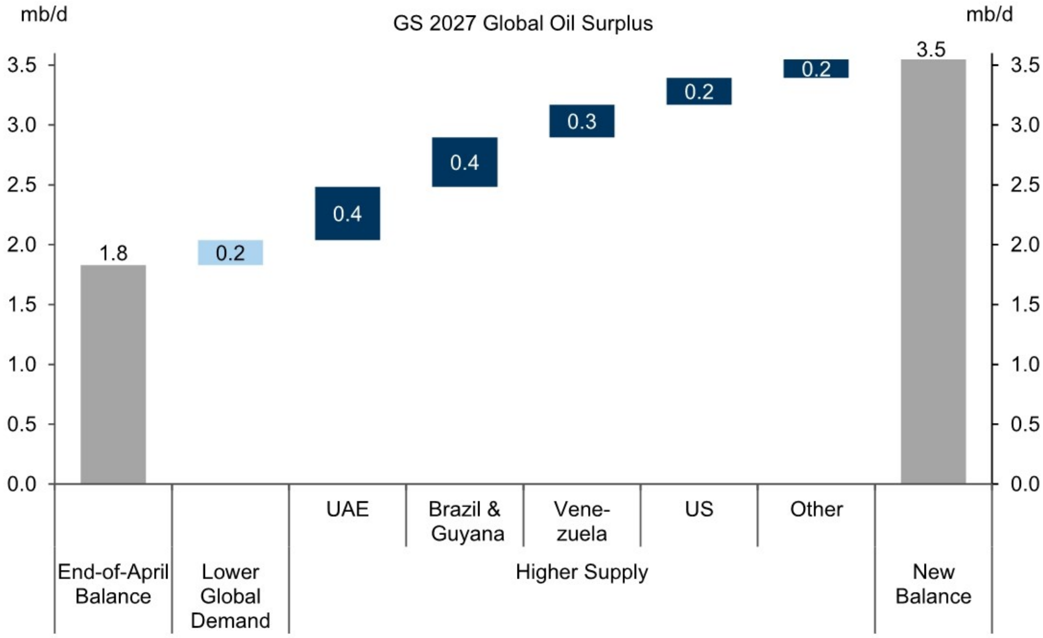
Source: Baker Hughes, Goldman Sachs Global Investment Research

We forecast liquids production from Persian Gulf countries in Dec26 to slightly exceed its Feb26 level, largely because the 0.8mb/d increase in Saudi crude production (to rebuild low inventories) exceeds the decline in Iraq crude production, where we assume a slow and partial recovery.

Nudging Down 2027 Price Forecast

We lower our 2027 average Brent/WTI forecasts by $5 to $80/75 on higher supply in the UAE and the Americas and lower demand as we now expect (Exhibit 10) a large 3.5mb/d surplus (assuming Persian Gulf exports are unconstrained).

Exhibit 10: We Have Revised Higher Our 2027 Global Oil Surplus to 3.5mb/d Given Our Expectation of Higher Production in the UAE and Americas

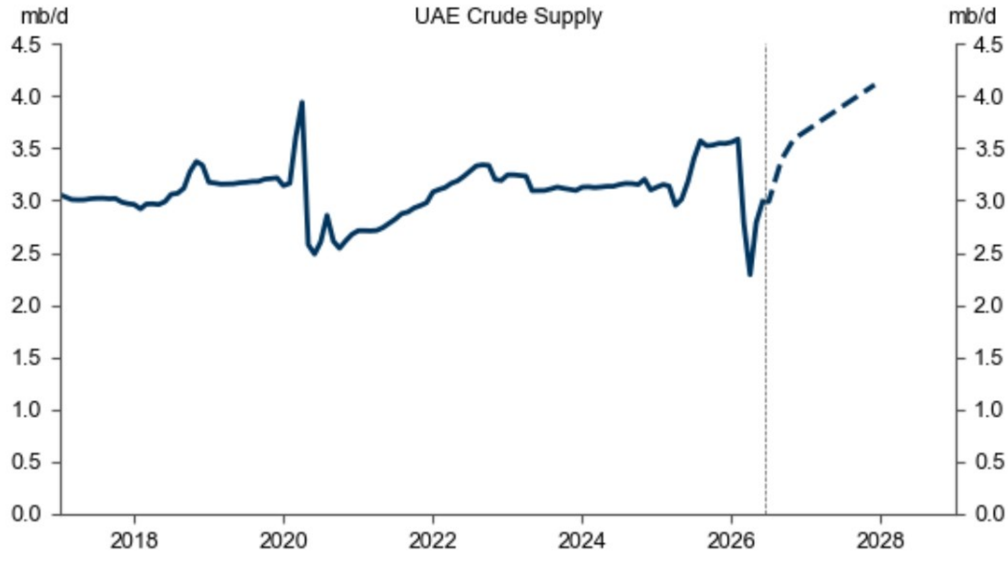


Source: Goldman Sachs Global Investment Research

Higher Supply in 2027

As the UAE exits OPEC, we assume UAE crude production rises to 4.1mb/d by Dec27 (or 0.5mb/d above our Feb26 estimate) with risks skewed towards even higher production (Exhibit 11).

Exhibit 11: We Expect UAE Crude Production to Increase to 4.1mb/d by Dec27



Source: OPEC Secondary Sources, Goldman Sachs Global Investment Research

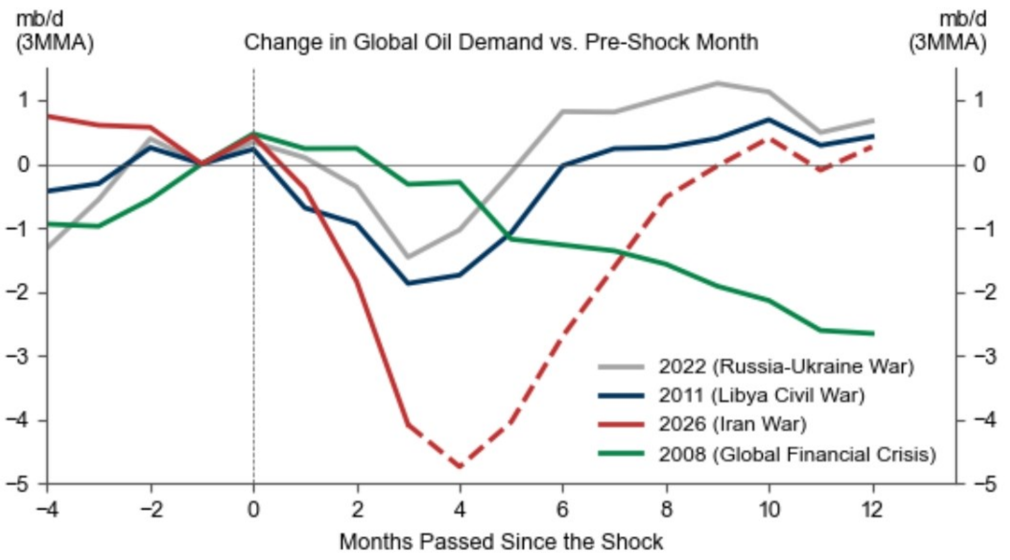
We also upgrade 2027 average supply in Brazil (+0.26mb/d), Venezuela (+0.27mb/d) and Guyana (+0.15mb/d) on firmer realized and/or projected supply by our equity analysts. Our colleagues recently published their Top Projects 2026 report and a constructive outlook for Latin American production.

Slightly Lower Demand in 2027

Our 0.2mb/d downgrade to 2027 average global oil demand is modest because we think that demand is likely to largely bounce back within a few months after reopening for two reasons.

First, oil demand also recovered swiftly from its oil price-driven weakness following the oil supply shocks of 2011 and 2022 (Exhibit 8) as the affordability and availability of oil improved. In contrast, oil demand weakness tends to be more persistent following recessions, especially the 2008 financial crisis.

Exhibit 12: Global Oil Demand Tends to Recover Swiftly Following Oil Supply Shocks But Remain Weak Following Recessions



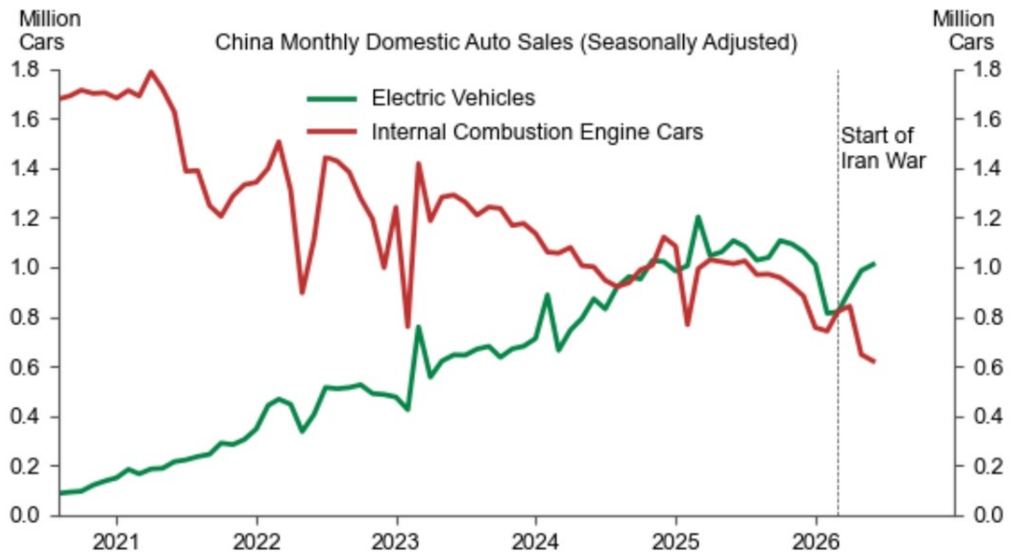
Source: IEA, Goldman Sachs Global Investment Research

Second, demand for petrochemical feedstocks—which drives about half of the 4-5mb/d of global oil demand destruction in April—is very likely to fully recover because the sharp decline in oil feedstocks demand has likely resulted in destocking along the long chemical supply chain (which was well supplied before the war) as opposed to a significant reduction in consumption of end-use petrochemical goods, e.g. plastics and packaging.

That said, we assume that just over 10% of the demand weakness persists in 2027 as the Hormuz shock is accelerating the shift to oil alternatives, especially in China where the EV share in car sales jumped since the war started (Exhibit 13).[2]

[2] We assume cumulative global oil demand growth in 2026-2027 of 1.3mb/d, or 0.6mb/d below the nearly 2mb/d cumulative trend in the absence of the Hormuz shock. This 0.6mb/d demand loss that we assume persits in 2027 corresponds to just over 10% of estimated peak oil demand destruction of just under 5mb/d.

Exhibit 13: The EV Share in Passenger Car Sales Increased From 50% in February to 62% in May



Source: China Passenger Car Association, Goldman Sachs Global Investment Research

Resilient 2027 Prices vs. Large Surplus

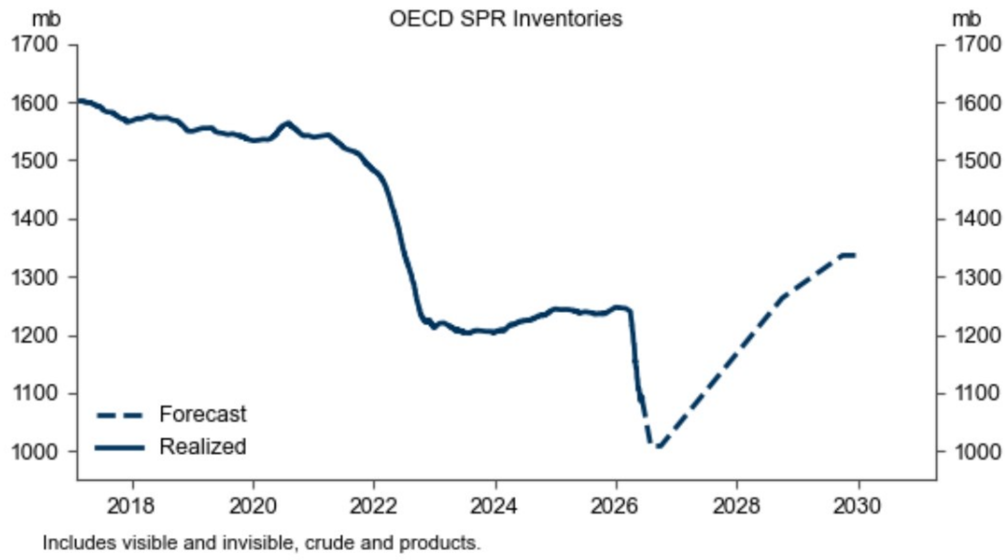
We forecast 2027 Brent prices to average \$80, or \$10 above their 2025 average, despite a record 3.5mb/d 2027 surplus for two reasons.

First, OECD commercial oil stocks—a key driver of spot prices vs. long dated prices—are unlikely to reach very high levels in 2027 given a low starting point and a low share of OECD commercial stocks in 2027 global inventory increases. In our base case, OECD commercial inventory levels reach a low of 2.6 billion in Sep2026, which would be the lowest level since April 2014.

Global strategic stockpiling and the rebuild of oil on water imply a just over 20% share of landed OECD commercial stocks in global inventory increases in 2027 (below the historical 1/3 average but higher than the 10% in 2025). We forecast that the Hormuz shock and lingering uncertainty will cause faster strategic stock building from 2027 because end-2026 reserves will be low and because countries are likely to raise SPR targets. Specifically, we estimate a structural trend for global strategic stockpiling of 1.1mb/d from 2027 with contributions from the US, OECD ex-US, China, and non-OECD ex China of 0.15/0.20/0.52/0.23mb/d, respectively.[3]

[3] This estimate uses 1) the typical 2027-2028 maturity and around 20% interest rate of the US SPR loan, 2) the assumption that OECD ex-US SPR levels return to 2021H1 levels by September 2029, 3) the assumption that China total estimated stocks rise to 180 days of demand over 5 years, and 4) the assumption that non-OECD ex China total estimated stocks rise by 20 days of demand over 10 years. We estimate total China crude and products stocks at 2.10 billion barrels at the end of May (or 124 days of demand) with only 1.45 billion (2/3) of stocks visible.

Exhibit 14: We Expect OECD SPR Inventories to Structurally Build at an Average Pace of 0.3mb/d From Late 2026



Source: Kpler, DoE, Goldman Sachs Global Investment Research

Second, the market is likely to continue to risk-adjust spare capacity (normally concentrated in the Gulf) for a higher risk of supply disruptions ("security premium").[4]

Two-Sided But Still Net Upside Price Risks

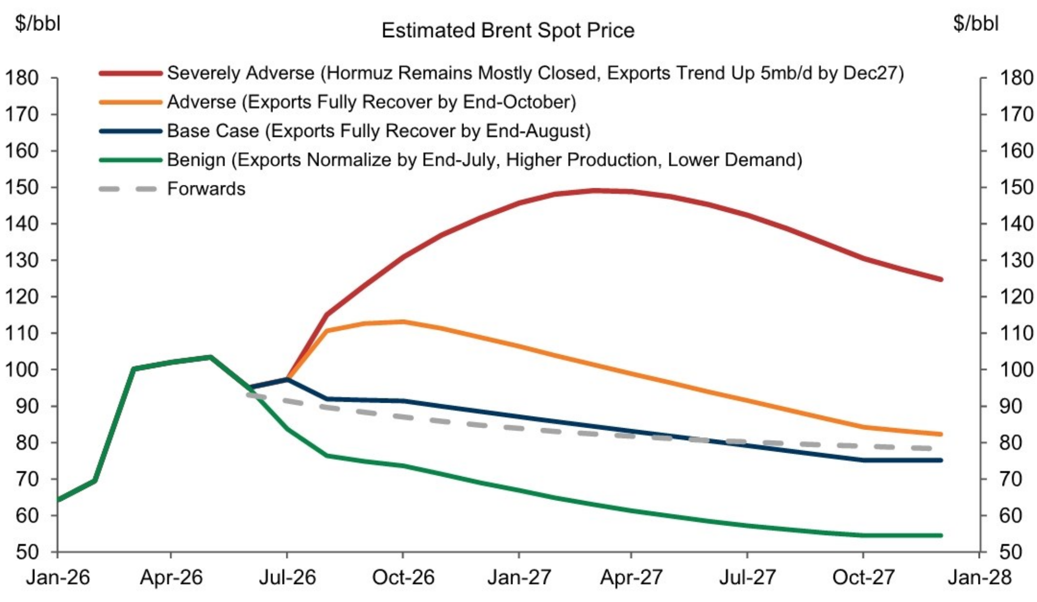
We illustrate the two-sided risks to our price forecasts, which tilt to the upside, with 3 risk scenarios (Exhibit 15):

- **Adverse scenario:** Brent 2026Q4 would average just over $110 assuming Gulf exports only normalize by end-October. We estimate a boost to the fair value of crude prices per each month of a delay in the supply normalization process of $9 for 2026Q4 but a more limited $6 boost for the 2027 average as demand/supply decline/rise with higher prices.
- **Severely adverse scenario:** We estimate Brent would average $140 in 2027 assuming Hormuz remains mostly closed through 2027 with Gulf countries' exports rising gradually by 5mb/d from current levels by Dec27. Exports may rise with some expansion in allowed flows (e.g. via bilateral deals) and/or in pipeline capacity. We see some upside risk to these price estimates (which rely on the historically linear relationship between total oil inventories and crude prices), and would expect even larger price increases for tight refined products such as diesel, where historical data show non-linear price increases when inventories fall from already low levels.
- **Benign scenario:** Brent would average around $70 in 2026Q4 and $60 in 2027 assuming a) Gulf exports normalize by end-July, b) stickier demand losses (with 1.5mb/d or 30% of the peak nearly 5mb/d demand loss persisting in 2027 vs. just

[4] We estimated spare capacity at 3.7mb/d before the war and a nearly $4 boost to long-dated prices for a 1mb/d decline in effective spare capacity. The $9 upgrade to long-dated prices following the Hormuz shock is the sum of a $2 contribution from 0.5mb/d of scarring to Gulf production potential and a $7 contribution from the market risk-adjusting spare capacity by 1/2.

over 10% in the baseline), and stronger global supply (+1.4mb/d higher in 2027 than the baseline), for instance in the UAE, Brazil, and the US.

Exhibit 15: We See Risks to Our Brent Price Forecast as Two-Sided but Tilted to the Upside on Net



Source: Goldman Sachs Global Investment Research

Appendix

Exhibit 16: We Expect a Deficit of 5.4mb/d in 2026Q2 But a 3.5mb/d Surplus in 2027

GS 2025-2027 Oil Supply and Demand Outlook							Quarterly Levels							
(mb/d)	2025		2026		2027		2026				2027			
	Level	YoY	Level	YoY	Level	YoY	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
World Supply	**105.8**	**3.1**	**102.2**	**-3.7**	**109.3**	**7.1**	**104.1**	**94.6**	**100.6**	**109.3**	**109.1**	**109.3**	**109.4**	**109.2**
Non-OPEC ex. Russia Supply	65.8	2.1	66.4	0.6	68.3	1.9	65.5	64.8	66.8	68.4	67.9	68.4	68.5	68.5
Total US	22.3	0.8	23.2	0.9	23.6	0.4	22.4	23.3	23.5	23.6	23.2	23.8	23.8	23.7
Canada	6.4	0.3	6.6	0.2	6.6	0.1	6.5	6.3	6.6	6.8	6.8	6.4	6.6	6.7
Non-OPEC Latam	7.0	0.6	7.9	0.9	8.2	0.3	7.6	8.0	8.0	8.1	8.1	8.1	8.2	8.4
Russia	10.4	-0.2	10.5	0.1	10.2	-0.3	10.4	10.5	10.6	10.5	10.3	10.2	10.1	10.0
OPEC Supply	29.6	1.2	25.3	-4.3	30.8	5.5	28.3	19.3	23.2	30.4	30.9	30.7	30.7	30.7
Saudi crude	9.5	0.5	8.6	-0.9	10.4	1.8	9.2	6.5	7.9	10.7	10.5	10.3	10.3	10.3
OPEC liq. ex. Saudi crude	20.1	0.7	16.7	-3.4	20.4	3.7	19.0	12.7	15.3	19.7	20.3	20.4	20.4	20.4
World Demand	**104.4**	**0.8**	**103.2**	**-1.2**	**105.7**	**2.5**	**104.4**	**100.0**	**103.1**	**105.2**	**104.9**	**104.9**	**106.5**	**106.5**
OECD Demand	45.9	0.0	45.7	-0.2	45.7	0.1	45.7	44.5	46.0	46.4	45.8	45.0	46.3	45.9
US	20.7	0.2	20.9	0.2	20.9	0.0	20.9	20.7	21.0	21.0	20.8	20.8	21.1	20.9
OECD Europe	13.4	0.0	13.2	-0.2	13.1	-0.1	12.9	13.0	13.7	13.4	12.9	13.0	13.6	13.0
Non-OECD Demand	58.5	0.8	57.5	-1.0	60.0	2.5	58.7	55.5	57.1	58.8	59.2	59.9	60.1	60.6
China	16.9	0.2	16.1	-0.8	16.7	0.6	17.1	15.2	15.7	16.5	16.7	16.7	16.6	16.7
India	5.9	0.1	5.9	0.0	6.4	0.6	6.1	5.6	5.5	6.2	6.5	6.5	6.1	6.5
Other non-OECD Asia	9.4	0.2	9.4	0.0	9.9	0.5	9.5	9.0	9.4	9.6	9.8	9.8	9.8	10.0
Imbalance (=Supply-Demand)	**1.4**	**2.3**	**-1.0**	**-2.4**	**3.5**	**4.6**	**-0.3**	**-5.4**	**-2.6**	**4.1**	**4.1**	**4.3**	**3.0**	**2.7**
Change in OECD Comm. Stocks	**0.2**	**-**	**-0.4**	**-**	**0.8**	**-**	**-0.3**	**-1.2**	**-0.8**	**0.7**	**0.6**	**1.2**	**0.7**	**0.7**

Source: Goldman Sachs Global Investment Research

Exhibit 17: We Maintain Our 2026Q4 Brent Oil Price Forecast at $90 But Downgrade Our 2027 Average Forecast by $5 to $80

	Brent ($/bbl)			WTI ($/bbl)		
	New GS Forecast	Old GS Forecast	Forwards (Nearby Contract Traded That Month)	New GS Forecast	Old GS Forecast	Forwards (Nearby Contract Traded That Month)
2025	68	68		65	65	
2026	90	90	87	85	84	82
2027	80	85	80	75	80	75
2028	75	79	77	70	75	72
2029	75	77	74	70	73	69
2030	75	75	72	70	71	66
2031-2035	75	75	69	70	71	61
1Q25	75	75	75	71	71	71
2Q25	67	67	67	64	64	64
3Q25	68	68	68	65	65	65
4Q25	63	63	63	59	59	59
1Q26	78	78	76	72	72	72
2Q26	100	100	99	95	95	94
3Q26	94	93	87	88	86	83
4Q26	90	90	84	85	83	79
1Q27	86	88	82	81	81	77
2Q27	82	86	80	77	82	75
3Q27	78	83	79	73	79	74
4Q27	75	81	78	70	77	73
Jan-26	65	65		60	60	
Feb-26	69	69		65	65	
Mar-26	100	100		91	91	
Apr-26	102	102		98	98	
May-26	104	104		99	99	
Jun-26	95	95	90	90	88	86
Jul-26	97	94	88	92	87	84
Aug-26	92	93	87	87	86	82
Sep-26	92	92	86	86	85	81
Oct-26	91	91	85	86	84	80
Nov-26	90	90	84	85	83	79
Dec-26	88	90	83	83	83	78
Jan-27	87	89	82	82	82	77
Feb-27	86	88	82	81	81	77
Mar-27	84	87	81	79	80	76
Apr-27	83	86	81	78	82	76
May-27	82	86	80	77	82	75
Jun-27	80	85	80	75	81	75
Jul-27	79	84	79	74	80	75
Aug-27	78	83	79	73	79	74
Sep-27	77	83	79	71	79	74
Oct-27	75	82	78	70	78	74
Nov-27	75	81	78	70	77	73
Dec-27	75	80	78	70	76	73

Source: ICE, Goldman Sachs Global Investment Research

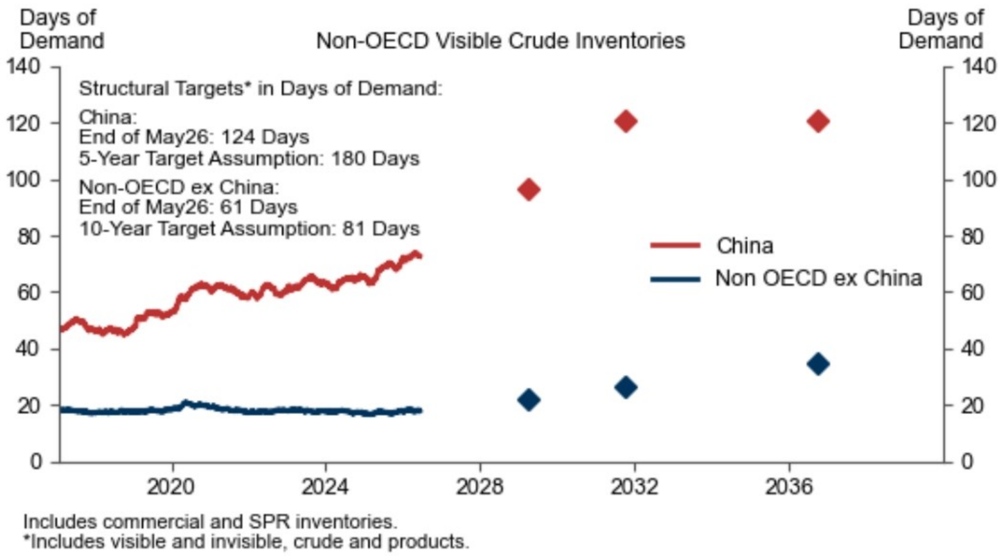
Exhibit 18: Our Estimates of Declines in Production From Persian Gulf Countries of 14-15mb/d for Liquids and 11mb/d for Crude Are Similar to Estimates From Other Forecasters

Average Persian Gulf Oil Production Losses in April										
	Liquids	Crude		NGLs						
	Gulf Crude + NGLs (incl. Qatar)	Gulf Crude (incl. Qatar)	Gulf Crude (excl. Qatar)	Gulf NGLs	Iran Crude	Iraq Crude	Kuwait Crude	Qatar Crude	Saudi Arabia Crude	UAE Crude
IEA	**14.4**	**11.4**	**10.3**	**3.1**	0.2	3.2	2.0	1.1	3.8	1.2
OPEC Secondary Sources	-	-	**9.9**	-	0.4	2.8	2.0	N/A	3.3	1.4
Kpler	-	**10.8**	**9.7**	-	0.4	2.8	1.8	1.1	3.3	1.5
GS Balance (Current)	**14.1**	**11.3**	**10.2**	**2.8**	0.7	3.0	2.0	1.1	3.2	1.3

We define production losses as a difference between April and February production estimates.

Source: IEA, Kpler, OPEC Secondary Sources, Goldman Sachs Global Investment Research

Exhibit 19: We Assume a Structural Rise in Strategic Stockpiling Demand in Non-OECD Economies



Source: Kpler, Goldman Sachs Global Investment Research

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We, Daan Struyven, Yulia Zhestkova Grigsby, Filippo Cuscito and Alexandra Paulus, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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